Attention and the Formation of Economic Narratives

Philipp Heil

HEC Paris and ifo Institute

November 2026

Motivation

What causes current inflation?

Motivation

What causes current inflation?

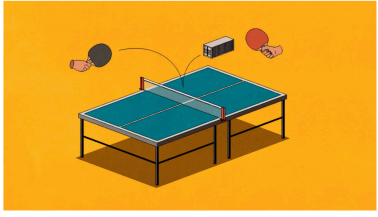
There are multiple competing explanations circulating...

Finance & economics | Free exchange

Do tariffs raise inflation?

Usually. But the bigger problem is that they harm economic growth and innovation

Save Share



Motivation

What causes current inflation?

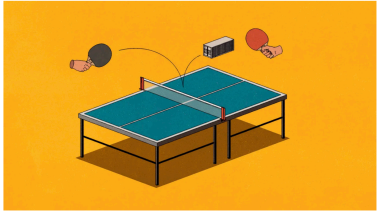
There are multiple competing explanations circulating...

Finance & economics | Free exchange

Do tariffs raise inflation?

Usually. But the bigger problem is that they harm economic growth and innovation

Save Share



Olivier Blanchard @ojblanchard1 · May 16, 2024

Last year, Ben Bernanke and I proposed and estimated a simple model of the inflation process, which we used to analyze US inflation since 2019. Ten central banks expressed interest in using our model to study inflation in their own economies. This new paper is the result of this

Show more

24 404 1.2K 343K

Olivier Blanchard @ojblanchard1

1. In all countries, the inflation burst was primarily the result of a series of supply disruptions and increases in the relative price of energy and food. In sharp contrast to the 1970s, this did not trigger a wage price spiral, and the inflationary effects of each these price shocks were not persistent. This was largely due to a strong anchoring of inflation expectations, itself likely reflecting increased credibility of central banks' inflation targets.

6:28 PM · May 16, 2024 · **106.3K** Views

Motivation

What causes current inflation?

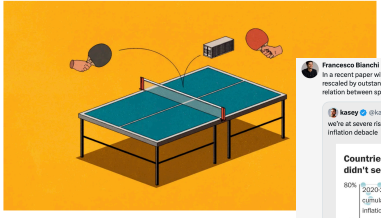
There are multiple competing explanations circulating...

Finance & economics | Free exchange

Do tariffs raise inflation?

Usually. But the bigger problem is that they harm economic growth and innovation

Save Share



Olivier Blanchard @ojblanchard1 · May 16, 2024

Last year, Ben Bernanke and I proposed and estimated a simple model of the inflation process, which we used to analyze US inflation since 2019. Ten central banks expressed interest in using our model to study inflation in their own economies. This new paper is the result of this

Show more

24 404 1.2K 343K

Olivier Blanchard @ojblanchard1

1. In all countries, the inflation burst was primarily the result of a series of supply disruptions and increases in the relative price of energy and food.

st to the 1970s, this did not trigger a wage price spiral,

ary effects of each these price shocks were not

was largely due to a strong anchoring of inflation

self likely reflecting increased credibility of central banks'

i.

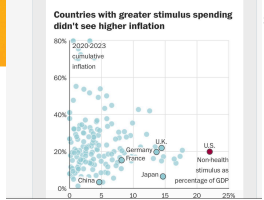
2024 · **106.3K** Views

Francesco Bianchi @FrancescoBia · Nov 18, 2024

In a recent paper with Robert **Barro** we show that spending needs to be rescaled by outstanding debt and its maturity. Then you get a very clear relation between spending and **inflation**

kasey @kaseykl1mes · Nov 17, 2024

we're at severe risk of taking the wrong lesson away from this whole inflation debacle



Motivation

What causes current inflation?

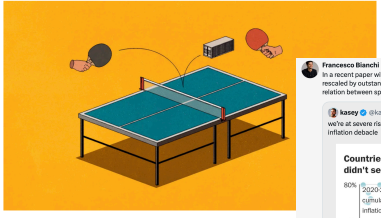
There are multiple competing explanations circulating...

Finance & economics | Free exchange

Do tariffs raise inflation?

Usually. But the bigger problem is that they harm economic growth and innovation

Save Share



Olivier Blanchard @ojblanchard1 · May 16, 2024

Last year, Ben Bernanke and I proposed and estimated a simple model of the inflation process, which we used to analyze US inflation since 2019. Ten central banks expressed interest in using our model to study inflation in their own economies. This new paper is the result of this

Show more

24 404 1.2K 343K

Olivier Blanchard @ojblanchard1

1. In all countries, the inflation burst was primarily
supply disruptions and increases in the relative pr
st to the 1970s, this did not trigger
ary effects of each these price sh
was largely due to a strong ancho
self likely reflecting increased cred
i.

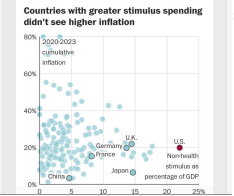
2024 · **106.3K** Views

Francesco Bianchi @FrancescoBia · Nov 18, 2024

In a recent paper with Robert **Barro** we show that spending needs to be rescaled by outstanding debt and its maturity. Then you get a very clear relation between spending and **inflation**

kasey @kaseyklimes · Nov 17, 2024

we're at severe risk of taking the wrong lesson away from this whole inflation debacle



Isabella M Weber @IsabellaMWeber

One more paper showing sellers' inflation!

Jorge Uxó @JorgeUxo · Oct 17, 2024

What has been the role of profit markups in the recent inflationary episode? And its consequences on income distribution?
We test the evidence of 'profit inflation' in Spain in a new open-access paper in @SCEDJournal with @EladioFebrero and @nachoalvarez_.
sciencedirect.com/science/articl...



Motivation

Households face competing explanations – narratives – for the same economic news.

Motivation

Households face competing explanations – narratives – for the same economic news.

- Different causes imply different futures: to form inflation expectations, households need a **story about where inflation comes from**.
- Narratives **shift households' expectations** (Andre et al., 2026), and households demand them (Blesse et al., 2026).
- **But:** with limited time and attention, households cannot process every narrative they come across.

Motivation

Households face competing explanations – narratives – for the same economic news.

- Different causes imply different futures: to form inflation expectations, households need a **story about where inflation comes from**.
- Narratives **shift households' expectations** (Andre et al., 2026), and households demand them (Blesse et al., 2026).
- **But:** with limited time and attention, households cannot process every narrative they come across.

Which narratives do households attend to? What drives this choice? And does this attention shape beliefs and the aggregate economy?

This Paper

How do households allocate attention across competing inflation narratives, and how does this attention shape their beliefs?

This Paper

How do households allocate attention across competing inflation narratives, and how does this attention shape their beliefs?

1. **Expert survey:** U.S. economists disagree about the causes of inflation (EES, 2025)

This Paper

How do households allocate attention across competing inflation narratives, and how does this attention shape their beliefs?

1. **Expert survey:** U.S. economists disagree about the causes of inflation (EES, 2025)
2. **Framework:** households allocate costly attention across narratives they are uncertain about, with predictions for two margins of attention and for updating

This Paper

How do households allocate attention across competing inflation narratives, and how does this attention shape their beliefs?

1. **Expert survey:** U.S. economists disagree about the causes of inflation (EES, 2025)
2. **Framework:** households allocate costly attention across narratives they are uncertain about, with predictions for two margins of attention and for updating
3. **Two pre-registered survey experiments** with U.S. households, one per margin:
   - **Attention survey** ($N = 3{,}002$): read 2 of 3 expert narratives; random tariff forecast
   - **Acquisition survey** ($N = 400$, plus follow-up): choose which narrative to learn about
   - Both use a new quantitative elicitation of household narratives

This Paper

How do households allocate attention across competing inflation narratives, and how does this attention shape their beliefs?

1. **Expert survey:** U.S. economists disagree about the causes of inflation (EES, 2025)
2. **Framework:** households allocate costly attention across narratives they are uncertain about, with predictions for two margins of attention and for updating
3. **Two pre-registered survey experiments** with U.S. households, one per margin:
   - **Attention survey** ($N = 3{,}002$): read 2 of 3 expert narratives; random tariff forecast
   - **Acquisition survey** ($N = 400$, plus follow-up): choose which narrative to learn about
   - Both use a new quantitative elicitation of household narratives
4. **New Keynesian model:** households update their narratives gradually

Main Findings

1. **Prior beliefs predict attention:** different beliefs govern different margins
   - **Reading:** households read longer about narratives they understand less well
   - **Acquisition:** households seek out the narrative they believe contributes most to inflation

Main Findings

1. **Prior beliefs predict attention:** different beliefs govern different margins
   - **Reading:** households read longer about narratives they understand less well
   - **Acquisition:** households seek out the narrative they believe contributes most to inflation
2. **Attention shapes beliefs:** households shift weight toward the narratives they read, but only part of the way, and further when they read longer or are less confident – sticky narratives

Main Findings

1. **Prior beliefs predict attention:** different beliefs govern different margins
   - **Reading:** households read longer about narratives they understand less well
   - **Acquisition:** households seek out the narrative they believe contributes most to inflation
2. **Attention shapes beliefs:** households shift weight toward the narratives they read, but only part of the way, and further when they read longer or are less confident – sticky narratives
3. **Narratives shape how households interpret news:** a high tariff forecast raises inflation expectations, more so among households that attribute more inflation to tariffs

Main Findings

1. **Prior beliefs predict attention:** different beliefs govern different margins
   - **Reading:** households read longer about narratives they understand less well
   - **Acquisition:** households seek out the narrative they believe contributes most to inflation
2. **Attention shapes beliefs:** households shift weight toward the narratives they read, but only part of the way, and further when they read longer or are less confident – sticky narratives
3. **Narratives shape how households interpret news:** a high tariff forecast raises inflation expectations, more so among households that attribute more inflation to tariffs
4. **Sticky narratives matter for inflation:** relative to full updating, a public narrative has a smaller peak effect that outlasts the public narrative

Related Literature

This paper contributes to four strands of the literature:

Attention and rational inattention (e.g., Sims, 2003; Maćkowiak and Wiederholt, 2009; Gabaix, 2019; Maćkowiak et al., 2023; Loewenstein and Wojtowicz, 2025; Link et al., 2026; Bracha and Tang, 2025; Pfäuti, ming)

→ **Attention across competing explanations of one variable, at two margins governed by different beliefs**

Related Literature

This paper contributes to four strands of the literature:

Attention and rational inattention (e.g., Sims, 2003; Maćkowiak and Wiederholt, 2009; Gabaix, 2019; Maćkowiak et al., 2023; Loewenstein and Wojtowicz, 2025; Link et al., 2026; Bracha and Tang, 2025; Pfäuti, ming)

→ **Attention across competing explanations of one variable, at two margins governed by different beliefs**

Economic narratives (e.g., Shiller, 2017; Eliaz and Spiegler, 2020; Schwartzstein and Sunderam, 2021; Andre et al., 2026; Flynn and Sastry, 2024; Charles and Kendall, 2024; Barron and Fries, 2024; Blesse et al., 2026)

→ **Which narratives households attend to when several compete, and how fast narratives update**

Related Literature

This paper contributes to four strands of the literature:

Attention and rational inattention (e.g., Sims, 2003; Maćkowiak and Wiederholt, 2009; Gabaix, 2019; Maćkowiak et al., 2023; Loewenstein and Wojtowicz, 2025; Link et al., 2026; Bracha and Tang, 2025; Pfäuti, ming)

→ **Attention across competing explanations of one variable, at two margins governed by different beliefs**

Economic narratives (e.g., Shiller, 2017; Eliaz and Spiegler, 2020; Schwartzstein and Sunderam, 2021; Andre et al., 2026; Flynn and Sastry, 2024; Charles and Kendall, 2024; Barron and Fries, 2024; Blesse et al., 2026)

→ **Which narratives households attend to when several compete, and how fast narratives update**

Expectations and information provision experiments (e.g., Coibion et al., 2018, 2020, 2022, 2023; Haaland et al., 2023; Weber et al., 2025; Coibion and Gorodnichenko, 2026)

→ **The response to the same quantitative forecast varies with the narratives households hold**

Related Literature

This paper contributes to four strands of the literature:

Attention and rational inattention (e.g., Sims, 2003; Maćkowiak and Wiederholt, 2009; Gabaix, 2019; Maćkowiak et al., 2023; Loewenstein and Wojtowicz, 2025; Link et al., 2026; Bracha and Tang, 2025; Pfäuti, ming)

→ **Attention across competing explanations of one variable, at two margins governed by different beliefs**

Economic narratives (e.g., Shiller, 2017; Eliaz and Spiegler, 2020; Schwartzstein and Sunderam, 2021; Andre et al., 2026; Flynn and Sastry, 2024; Charles and Kendall, 2024; Barron and Fries, 2024; Blesse et al., 2026)

→ **Which narratives households attend to when several compete, and how fast narratives update**

Expectations and information provision experiments (e.g., Coibion et al., 2018, 2020, 2022, 2023; Haaland et al., 2023; Weber et al., 2025; Coibion and Gorodnichenko, 2026)

→ **The response to the same quantitative forecast varies with the narratives households hold**

Causes of post-pandemic inflation (e.g., Reis, 2023; Cochrane, 2023; Bianchi et al., 2023; Barro and Bianchi, 2026; Bernanke and Blanchard, 2025; Gagliardone and Gertler, 2026; Lorenzoni and Werning, 2023; Shapiro, 2026)

→ **How U.S. experts weigh competing explanations of inflation**

Outline

1. Competing Narratives among Experts
2. A Framework of Attention to Narratives
3. Measuring Household Narratives
4. Reading Margin: The Attention Survey
5. Acquisition Margin: The Acquisition Survey
6. Narrative Updating and Expectation Formation
7. Sticky Narratives in a New Keynesian Model
8. Conclusion

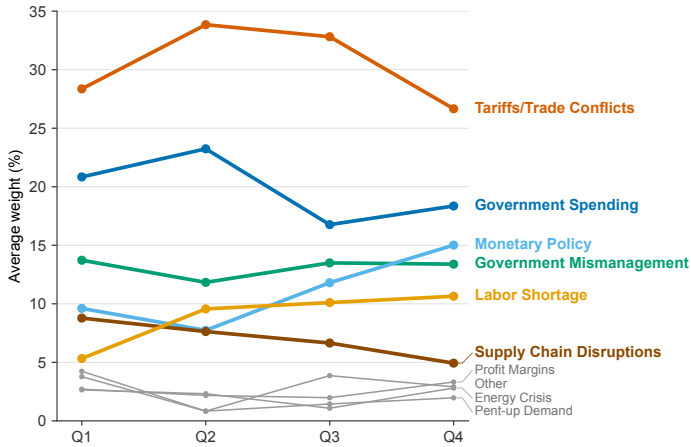
1. Competing Narratives among Experts

Data: Economic Experts Survey (EES)

Economists are a major source of the narratives households encounter.

- **Largest global expert survey** of economists, run by the ifo Institute and CESifo
  Expert Characteristics
- Sent quarterly to more than 10,000 experts in **120+ countries** Coverage
- Participants are **active in the public debate** Output of U.S. experts
- **Inflation module:** experts allocate 0–100 points across the drivers of current inflation in their country Question

Inflation Narratives of U.S. Experts in 2025



→ No narrative accounts for more than **about a third** of the average allocation.

2023–2025

World Macro split

Narratives Compete Within and Across Experts

Within experts

- Positive weight on **4.3 drivers** on average
- 90% assign positive weight to **at least three** drivers
- 80% put **at most half** of their weight on a single driver

Narratives Compete Within and Across Experts

Within experts

- Positive weight on **4.3 drivers** on average
- 90% assign positive weight to **at least three** drivers
- 80% put **at most half** of their weight on a single driver

Across experts

- Largest driver: tariffs in **42%** of responses, government spending in 22%, mismanagement and monetary policy in 11% each
- The SD of the tariff weight is 19pp, **about two thirds** of its mean

Narratives Compete Within and Across Experts

Within experts

- Positive weight on **4.3 drivers** on average
- 90% assign positive weight to **at least three** drivers
- 80% put **at most half** of their weight on a single driver

Across experts

- Largest driver: tariffs in **42%** of responses, government spending in 22%, mismanagement and monetary policy in 11% each
- The SD of the tariff weight is 19pp, **about two thirds** of its mean

$\rightarrow$ Households face competing narratives in part because **the experts themselves disagree**.

2. A Framework of Attention to Narratives

Two Margins of Attention to Narratives

Why attend to narratives? Households want accurate beliefs about what drives inflation, because these beliefs guide their forecasts and decisions.

Two Margins of Attention to Narratives

Why attend to narratives? Households want accurate beliefs about what drives inflation, because these beliefs guide their forecasts and decisions.

Households interact with narratives at two margins:

Reading margin

How long to read a narrative one comes across

e.g., a newspaper article arguing that tariffs raise prices

Two Margins of Attention to Narratives

Why attend to narratives? Households want accurate beliefs about what drives inflation, because these beliefs guide their forecasts and decisions.

Households interact with narratives at two margins:

Reading margin

How long to read a narrative one comes across

e.g., a newspaper article arguing that tariffs raise prices

Acquisition margin

Which narrative to seek out

e.g., searching online or asking ChatGPT about the tariff narrative

Two Margins of Attention to Narratives

Why attend to narratives? Households want accurate beliefs about what drives inflation, because these beliefs guide their forecasts and decisions.

Households interact with narratives at two margins:

Reading margin

How long to read a narrative one comes across

e.g., a newspaper article arguing that tariffs raise prices

Acquisition margin

Which narrative to seek out

e.g., searching online or asking ChatGPT about the tariff narrative

Framework: linear-quadratic-Gaussian rational inattention (Sims, 2003; Maćkowiak and Wiederholt, 2009), applied to a choice among competing causal explanations.

Framework: Mental Models of Inflation

Mental model: household i splits inflation into the contributions of N narratives,

$$\pi_i = \sum_{n=1}^{N} \omega_{i,n}, \qquad \bar{\omega}_{i,n} \equiv \frac{\omega_{i,n}}{\pi_i} \in [0,1], \qquad \sum_{n=1}^{N} \bar{\omega}_{i,n} = 1,$$

where $\bar{\omega}_{i,n}$ is the perceived contribution of narrative n.

Framework: Mental Models of Inflation

Mental model: household i splits inflation into the contributions of N narratives,

$$\pi_i = \sum_{n=1}^{N} \omega_{i,n}, \qquad \bar{\omega}_{i,n} \equiv \frac{\omega_{i,n}}{\pi_i} \in [0,1], \qquad \sum_{n=1}^{N} \bar{\omega}_{i,n} = 1,$$

where $\bar{\omega}_{i,n}$ is the perceived contribution of narrative n.

Uncertain beliefs: the true contribution $\bar{\omega}_n$ is common to all households and unobserved,

$$\bar{\omega}_n \sim \mathcal{N}\left(\bar{\omega}_{i,n}^0,\, \sigma_{i,n}^2\right), \qquad \text{understanding} \uparrow \iff \sigma_{i,n}^2 \downarrow .$$

Framework: Mental Models of Inflation

Mental model: household i splits inflation into the contributions of N narratives,

$$\pi_i = \sum_{n=1}^{N} \omega_{i,n}, \qquad \bar{\omega}_{i,n} \equiv \frac{\omega_{i,n}}{\pi_i} \in [0,1], \qquad \sum_{n=1}^{N} \bar{\omega}_{i,n} = 1,$$

where $\bar{\omega}_{i,n}$ is the perceived contribution of narrative n.

Uncertain beliefs: the true contribution $\bar{\omega}_n$ is common to all households and unobserved,

$$\bar{\omega}_n \sim \mathcal{N}\big(\bar{\omega}^0_{i,n},\, \sigma^2_{i,n}\big), \qquad \text{understanding} \uparrow \iff \sigma^2_{i,n} \downarrow .$$

Reading: a narrative yields a noisy signal, and attention $a_{i,n}$ buys precision at cost ψ per unit,

$$s_{i,n} = \bar{\omega}_n + \varepsilon_{i,n}, \qquad \varepsilon_{i,n} \sim \mathcal{N}\Big(0,\, \frac{\bar{\sigma}^2}{a_{i,n}}\Big).$$

Reading Margin: Attention to Uncertain Narratives

Problem: minimize misattributed inflation, net of the cost of attention,

$$\min_{\{a_{i,n}\}_{n\in\mathcal{T}} \geq 0} \sum_{n\in\mathcal{T}} \left[(\bar{\omega}^0_{i,n})^2 \, \mathsf{Var}(\bar{\omega}_n \mid s_{i,n}, a_{i,n}) + \psi \, a_{i,n} \right]$$

An error counts in proportion to the narrative's weight: misjudging a 40% narrative misattributes more inflation than misjudging a 15% narrative.

Reading Margin: Attention to Uncertain Narratives

Problem: minimize misattributed inflation, net of the cost of attention,

$$\min_{\{a_{i,n}\}_{n\in\mathcal{T}}\geq 0} \sum_{n\in\mathcal{T}} \Big[(\bar{\omega}^0_{i,n})^2 \,\mathsf{Var}(\bar{\omega}_n \mid s_{i,n}, a_{i,n}) + \psi\, a_{i,n}\Big]$$

An error counts in proportion to the narrative's weight: misjudging a 40% narrative misattributes more inflation than misjudging a 15% narrative.

Optimal attention: $a^*_{i,n} = \max\Big\{0,\ \dfrac{\bar{\sigma}\,\bar{\omega}^0_{i,n}}{\sqrt{\psi}} - \dfrac{\bar{\sigma}^2}{\sigma^2_{i,n}}\Big\}$

Reading Margin: Attention to Uncertain Narratives

Problem: minimize misattributed inflation, net of the cost of attention,

$$\min_{\{a_{i,n}\}_{n\in\mathcal{T}}\geq 0} \sum_{n\in\mathcal{T}} \Big[(\bar{\omega}^0_{i,n})^2\,\mathrm{Var}(\bar{\omega}_n \mid s_{i,n}, a_{i,n}) + \psi\, a_{i,n}\Big]$$

An error counts in proportion to the narrative's weight: misjudging a 40% narrative misattributes more inflation than misjudging a 15% narrative.

Optimal attention: $a^*_{i,n} = \max\Big\{0,\ \dfrac{\bar{\sigma}\,\bar{\omega}^0_{i,n}}{\sqrt{\psi}} - \dfrac{\bar{\sigma}^2}{\sigma^2_{i,n}}\Big\}$

Proposition 1 (Attention to Uncertain Narratives)

Holding perceived contribution fixed, the household pays more attention to narratives it is more uncertain about: $\partial a^*_{i,n}/\partial\sigma^2_{i,n} = \bar{\sigma}^2/(\sigma^2_{i,n})^2 > 0$.

Intuition: an extra minute of reading pays off most for a narrative one understands poorly.

Acquisition Margin: Seeking Out Important Narratives

Acquisition: one supplementary signal of precision τ_s, directed at one narrative. Its value at prior beliefs, with prior precision $\tau^0_{i,n} = 1/\sigma^2_{i,n}$, is

$$V^0_{i,n} \;=\; (\bar{\omega}^0_{i,n})^2 \Big[\frac{1}{\tau^0_{i,n}} - \frac{1}{\tau^0_{i,n} + \tau_s}\Big] \;=\; \frac{(\bar{\omega}^0_{i,n})^2\,\tau_s}{\tau^0_{i,n}(\tau^0_{i,n} + \tau_s)}$$

The bracket is the reduction in posterior variance; $(\bar{\omega}^0_{i,n})^2$ converts it into points of inflation.

Acquisition Margin: Seeking Out Important Narratives

Acquisition: one supplementary signal of precision τ_s, directed at one narrative. Its value at prior beliefs, with prior precision $\tau^0_{i,n} = 1/\sigma^2_{i,n}$, is

$$V^0_{i,n} \;=\; (\bar{\omega}^0_{i,n})^2 \Big[\frac{1}{\tau^0_{i,n}} - \frac{1}{\tau^0_{i,n} + \tau_s}\Big] \;=\; \frac{(\bar{\omega}^0_{i,n})^2\,\tau_s}{\tau^0_{i,n}(\tau^0_{i,n} + \tau_s)}$$

The bracket is the reduction in posterior variance; $(\bar{\omega}^0_{i,n})^2$ converts it into points of inflation.

Proposition 2 (Acquisition Increases in Perceived Contribution)

$V^0_{i,n}$ is strictly increasing in $\bar{\omega}^0_{i,n}$. Among narratives it is equally uncertain about, the household seeks information about the one it believes contributes most to inflation.

Intuition: resolving uncertainty pays off most for the narratives that matter most; the demand for information rises with the stakes (Maćkowiak et al., 2023).

Belief Updating and Predictions

Updating: after reading, the household moves toward the signal by the Kalman gain,

$$\Delta\bar{\omega}_{i,n} = \kappa_{i,n}\,(s_{i,n} - \bar{\omega}^{0}_{i,n}), \qquad \kappa_{i,n} = \frac{a_{i,n}\,\sigma^{2}_{i,n}}{a_{i,n}\,\sigma^{2}_{i,n} + \bar{\sigma}^{2}} \in (0,1).$$

The gain $\kappa_{i,n}$ rises with attention and with prior uncertainty. With finite attention, households move only part of the way.

Belief Updating and Predictions

Updating: after reading, the household moves toward the signal by the Kalman gain,

$$\Delta\bar{\omega}_{i,n} = \kappa_{i,n}\,(s_{i,n} - \bar{\omega}^0_{i,n}), \qquad \kappa_{i,n} = \frac{a_{i,n}\,\sigma^2_{i,n}}{a_{i,n}\,\sigma^2_{i,n} + \bar{\sigma}^2} \in (0,1).$$

The gain $\kappa_{i,n}$ rises with attention and with prior uncertainty. With finite attention, households move only part of the way.

Three predictions

1. **Reading:** more time on narratives the household is more uncertain about (Prop. 1)
2. **Acquisition:** seek out the narrative with the largest perceived contribution (Prop. 2)
3. **Updating:** larger revisions with more attention and more prior uncertainty (Kalman gain)

3. Measuring Household Narratives

Two Pre-Registered Survey Experiments, One per Margin

Attention survey (Section 4)

- U.S. population, Bilendi, August 2025, $N = 3{,}002$
- Randomly read 2 of 3 expert narratives
- Reading time, recall, and updating
- Second randomization: tariff forecast

Two Pre-Registered Survey Experiments, One per Margin

Attention survey (Section 4)

- U.S. population, Bilendi, August 2025, $N = 3{,}002$
- Randomly read 2 of 3 expert narratives
- Reading time, recall, and updating
- Second randomization: tariff forecast

Acquisition survey (Section 5)

- U.S. population, Prolific, September 2026, $N = 400$
- Choose which of 3 narratives to learn about
- Reading time on the chosen narrative
- Follow-up two weeks later ($N = 329$)

Two Pre-Registered Survey Experiments, One per Margin

Attention survey (Section 4)

- U.S. population, Bilendi, August 2025, $N = 3{,}002$
- Randomly read 2 of 3 expert narratives
- Reading time, recall, and updating
- Second randomization: tariff forecast

Acquisition survey (Section 5)

- U.S. population, Prolific, September 2026, $N = 400$
- Choose which of 3 narratives to learn about
- Reading time on the chosen narrative
- Follow-up two weeks later ($N = 329$)

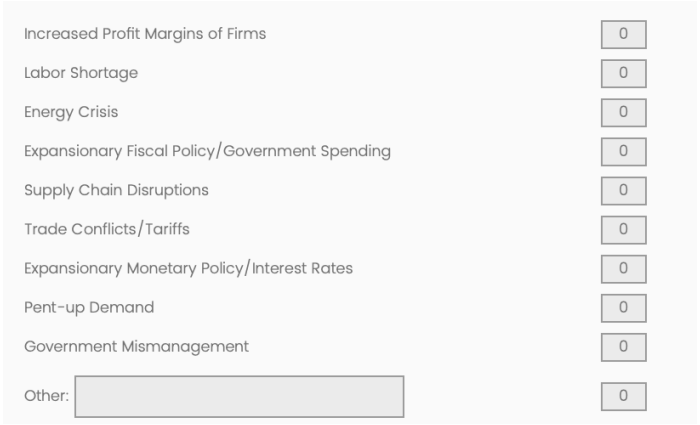
Common measurement of household narratives, before any treatment:

- **Perceived contribution:** allocate 100 points across 9 drivers, as experts do
- **Understanding:** rank the 9 drivers (attention survey) or rate 3 narratives on a 0–100 slider (acquisition survey); inverse proxy for $\sigma^2_{i,n}$

Pre-registered: AEA RCT Registry AEARCTR-0016456; AsPredicted 4ub48s and sc65tj.

Eliciting Perceived Contribution

How much of current inflation does a respondent attribute to each narrative? Before any treatment, respondents **allocate 100 points** across the possible drivers of inflation.



Eliciting Understanding

How well does a respondent understand *how* each narrative affects inflation? Respondents **rank** the drivers from best understood (Rank 1) to least understood (Rank 9).



Narratives of Households vs. Experts

→ Both put the most weight on tariffs; households put more weight on government mismanagement, less on government spending, and spread their weight over **more drivers** (6 vs. 4.3).

Figure: Households

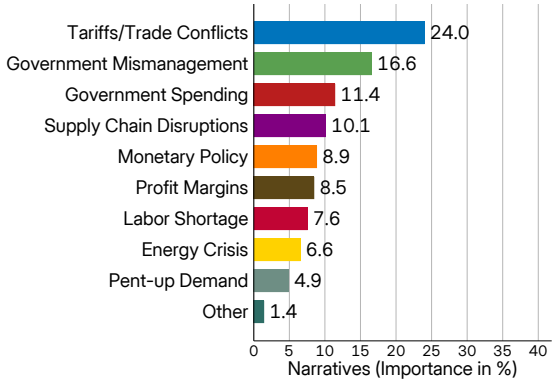
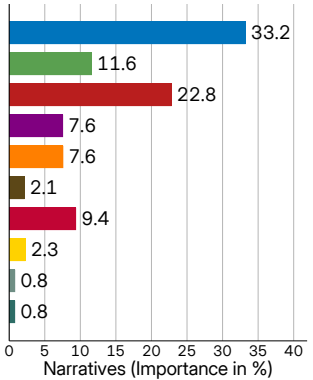
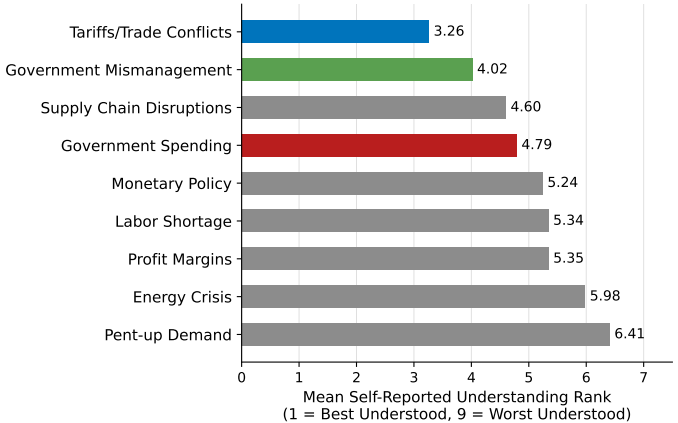


Figure: Experts



Households' Understanding of Narratives



→ Tariffs (mean rank 3.3) and mismanagement (4.0) are understood best; the SD exceeds **two ranks** for every driver.

4. Reading Margin: The Attention Survey

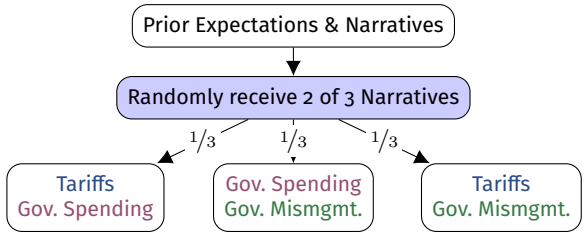
Attention Survey Design

- **Priors:** inflation expectations, perceived contribution, and understanding

Prior Expectations & Narratives

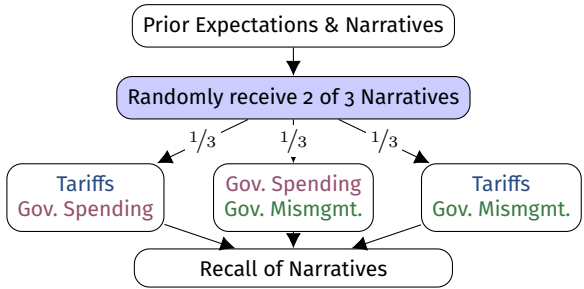
Attention Survey Design

- **Priors:** inflation expectations, perceived contribution, and understanding
- **Treatment 1:** randomly show 2 of 3 expert narratives on separate screens, matched in length



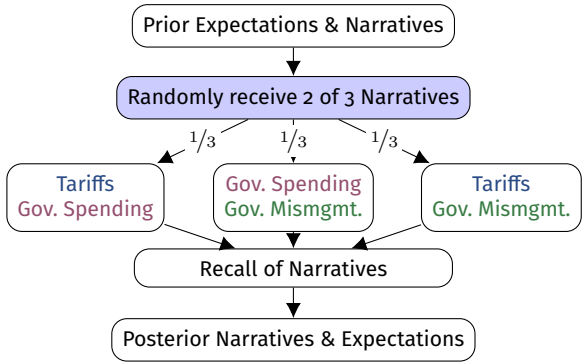
Attention Survey Design

- **Priors:** inflation expectations, perceived contribution, and understanding
- **Treatment 1:** randomly show 2 of 3 expert narratives on separate screens, matched in length
- **Attention:** screen time; recall in own words



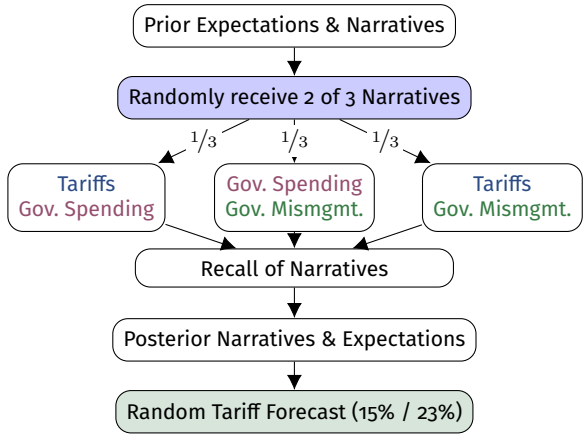
Attention Survey Design

- **Priors:** inflation expectations, perceived contribution, and understanding
- **Treatment 1:** randomly show 2 of 3 expert narratives on separate screens, matched in length
- **Attention:** screen time; recall in own words
- **Posterior:** narratives (reworded question) and expectations



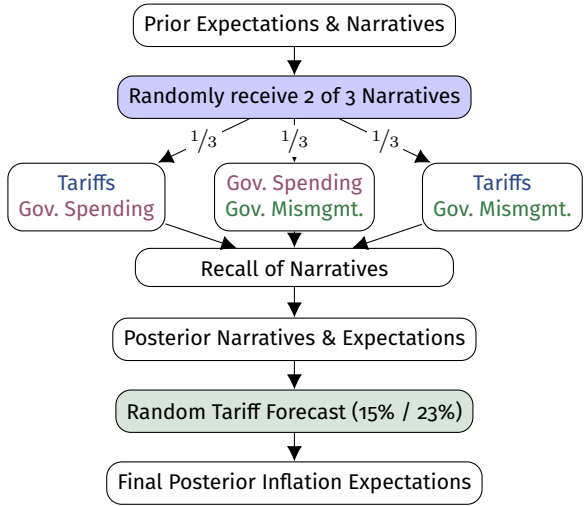
Attention Survey Design

- **Priors:** inflation expectations, perceived contribution, and understanding
- **Treatment 1:** randomly show 2 of 3 expert narratives on separate screens, matched in length
- **Attention:** screen time; recall in own words
- **Posterior:** narratives (reworded question) and expectations
- **Treatment 2:** random tariff forecast (15% vs. 23%)



Attention Survey Design

- **Priors:** inflation expectations, perceived contribution, and understanding
- **Treatment 1:** randomly show 2 of 3 expert narratives on separate screens, matched in length
- **Attention:** screen time; recall in own words
- **Posterior:** narratives (reworded question) and expectations
- **Treatment 2:** random tariff forecast (15% vs. 23%)
- **Final posterior:** inflation expectations



Treatment: Expert Narrative on Tariffs

What causes current Inflation?

Participants in a recent survey of leading economic experts stated that **Trade Conflicts and Tariffs** are major drivers of current Inflation in the United States.

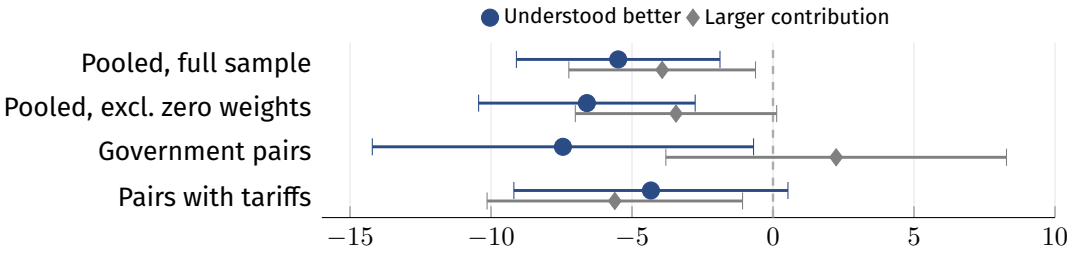
When **tariffs are imposed on imported goods**—such as industrial inputs, consumer electronics, or food products—**import costs rise** and are often passed through to consumers as **higher retail prices**. This direct price increase contributes to overall inflation.

Additionally, trade tensions and retaliatory measures from other countries increase **economic uncertainty** and discourage investment. This reduces efficiency and productivity, **raising production costs** and further intensifying upward pressure on prices.

Together, these effects elevate prices both by **raising import costs** and by creating **broader inefficiencies** in the economy.

Reading Margin: Uncertainty Drives Reading Time

$$\text{Longer}_{i,n} = \beta_1 \text{ Understood better}_{i,n} + \beta_2 \text{ Larger contribution}_{i,n} + \alpha_n + \gamma' X_i + u_{i,n} \qquad \text{Prop. 1: } \beta_1 < 0$$



Baseline 50%. A better-understood narrative is **5.5pp less likely** to be read longer ($p < 0.01$), in both pair types.

→ Consistent with **Prop. 1**: households pay more attention to narratives they are more uncertain about.

Table | Reading times | Contribution & partisanship

Does Reading Time Measure Attention?

Concern: longer reading may reflect difficulty in comprehension rather than attention.

Does Reading Time Measure Attention?

Concern: longer reading may reflect difficulty in comprehension rather than attention.

1. **Recall:** LLM-scored descriptions of each narrative (coverage, accuracy, coherence) are better among respondents who read for at least 20 seconds Recall

Does Reading Time Measure Attention?

Concern: longer reading may reflect difficulty in comprehension rather than attention.

1. **Recall:** LLM-scored descriptions of each narrative (coverage, accuracy, coherence) are better among respondents who read for at least 20 seconds Recall
2. **Updating:** respondents who read a narrative longer move their beliefs further toward it (Section 6)

Does Reading Time Measure Attention?

Concern: longer reading may reflect difficulty in comprehension rather than attention.

1. **Recall:** LLM-scored descriptions of each narrative (coverage, accuracy, coherence) are better among respondents who read for at least 20 seconds Recall
2. **Updating:** respondents who read a narrative longer move their beliefs further toward it (Section 6)
3. **Replication:** the same pattern holds for the narrative respondents chose to read in the acquisition survey (Section 5)

5. Acquisition Margin: The Acquisition Survey

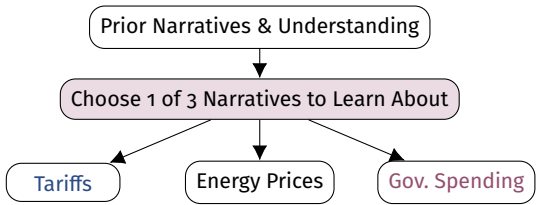
Acquisition Survey Design

- **Priors:** 100-point allocation, as in the attention survey; understanding sliders for 3 narratives

Prior Narratives & Understanding

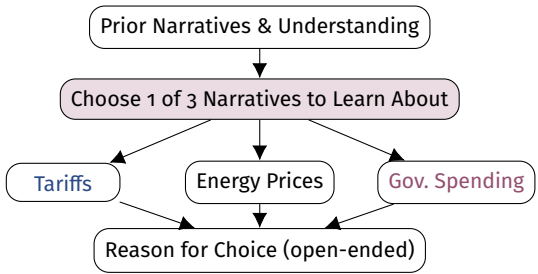
Acquisition Survey Design

- **Priors:** 100-point allocation, as in the attention survey; understanding sliders for 3 narratives
- **First choice:** which narrative to learn about, made before reading any narrative – a test of Prop. 2



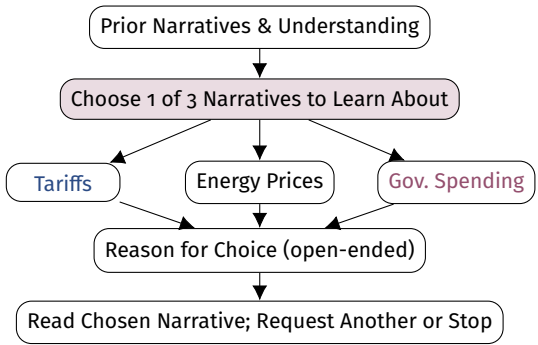
Acquisition Survey Design

- **Priors:** 100-point allocation, as in the attention survey; understanding sliders for 3 narratives
- **First choice:** which narrative to learn about, made before reading any narrative – a test of Prop. 2
- **Motive:** open-ended reason for the choice



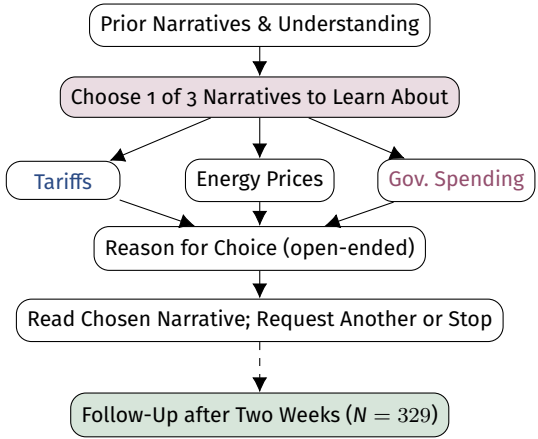
Acquisition Survey Design

- **Priors:** 100-point allocation, as in the attention survey; understanding sliders for 3 narratives
- **First choice:** which narrative to learn about, made before reading any narrative – a test of Prop. 2
- **Motive:** open-ended reason for the choice
- **Reading:** screen time on the chosen narrative; then request another or stop



Acquisition Survey Design

- **Priors:** 100-point allocation, as in the attention survey; understanding sliders for 3 narratives
- **First choice:** which narrative to learn about, made before reading any narrative – a test of Prop. 2
- **Motive:** open-ended reason for the choice
- **Reading:** screen time on the chosen narrative; then request another or stop
- **Follow-up:** the same choice again two weeks later



Acquisition Margin: Households Seek Out Important Narratives

Conditional logit of the first choice: $\Pr(c_i = n) \propto \exp\big(\beta_1 \tilde{\omega}_{i,n} + \beta_2 \tilde{U}_{i,n} + \alpha_n\big)$, Prop. 2: $\beta_1 > 0$

	Conditional logit			Logit
	(1)	(2)	(3)	(4)
Perceived contribution (std.)	0.350^{***}		0.373^{***}	0.411^{***}
	(0.062)		(0.067)	(0.070)
Understanding (std.)		0.135	-0.100	-0.029
		(0.099)	(0.109)	(0.045)
Narrative fixed effects	Yes	Yes	Yes	Yes
Demographic controls	No	No	No	Yes
Respondents	400	400	400	395

(1)–(3) conditional logit; (4) stacked logit with demographic controls. $^{*}p < 0.1$, $^{**}p < 0.05$, $^{***}p < 0.01$.

- A one-SD higher perceived contribution raises the probability of choosing a narrative by **8.7pp** ($p < 0.01$), against a chance level of 33%
- Understanding does not predict the choice (-0.6pp per SD)

→ Consistent with **Prop. 2**: households seek out the narratives they consider important.

Binned figure | Acquisition in attention survey

Acquisition: Reading Replication and Persistence

Reading the chosen narrative

- Conditional on the narrative chosen, reading time is **14.9% lower** per SD of understanding ($p < 0.01$)
- Reading time is unrelated to perceived contribution (+1.8%)

$\rightarrow$ Prop. 1 holds in a second sample and design.

Acquisition: Reading Replication and Persistence

Reading the chosen narrative

- Conditional on the narrative chosen, reading time is **14.9% lower** per SD of understanding ($p < 0.01$)
- Reading time is unrelated to perceived contribution (+1.8%)

$\rightarrow$ Prop. 1 holds in a second sample and design.

Persistence of acquisition

- 84% of respondents complete the follow-up two weeks later
- **48%** choose the same narrative again, against 34% if choices were independent ($p < 0.001$)
- Perceived contribution again predicts the choice

Table

Acquisition: Reading Replication and Persistence

Reading the chosen narrative

- Conditional on the narrative chosen, reading time is **14.9% lower** per SD of understanding ($p < 0.01$)
- Reading time is unrelated to perceived contribution (+1.8%)

$\rightarrow$ Prop. 1 holds in a second sample and design.

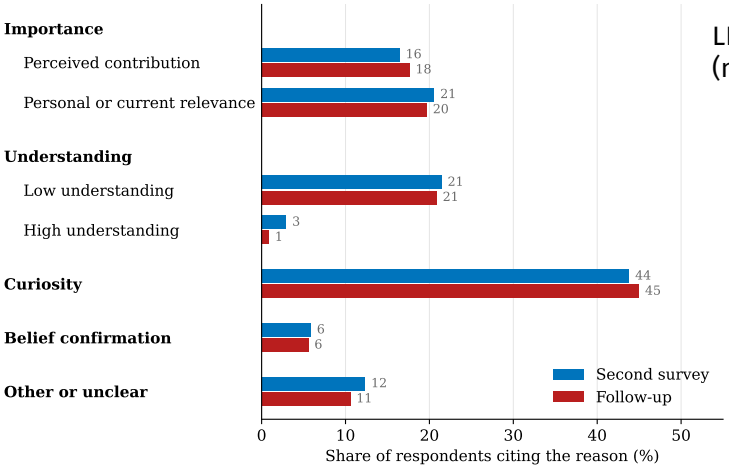
Persistence of acquisition

- 84% of respondents complete the follow-up two weeks later
- **48%** choose the same narrative again, against 34% if choices were independent ($p < 0.001$)
- Perceived contribution again predicts the choice

Table

Within the same respondents, **importance** governs what households seek out, and **uncertainty** governs how long they read it.

Stated Motives for Acquisition



LLM-classified open-ended reasons (non-exclusive).

- Respondents who choose their own largest-contribution narrative are **twice as likely** to cite contribution (21 vs. 10%)
- Respondents who choose their own least understood narrative are **five times as likely** to cite low understanding (40 vs. 9%)
- Motives are stable across waves

Recap: Two Rules of Attention

Reading

Households read longer about narratives they understand less well.

Acquisition

Households seek out the narratives they believe contribute most to inflation – and keep doing so.

Recap: Two Rules of Attention

Reading

Households read longer about narratives they understand less well.

Acquisition

Households seek out the narratives they believe contribute most to inflation – and keep doing so.

$\rightarrow$ Seeking out what one already considers important **reinforces existing narratives**.

Next: does attention change what households believe?

6. Narrative Updating and Expectation Formation

Reading a Narrative Raises Its Weight

Attention survey:

$$\omega_{i,n}^{Post} = \beta_0 + \beta_1 \,\text{NarrativeTreat}_{i,n} + \beta_2 \,\omega_{i,n}^{Prior} + \gamma' X_i + u_{i,n}$$

Respondents who did not read narrative *n* form its control group. The posterior question is reworded and asked four screens later. Posterior question Experimenter demand

Reading a Narrative Raises Its Weight

Attention survey:

$$\omega_{i,n}^{Post} = \beta_0 + \beta_1 \,\text{NarrativeTreat}_{i,n} + \beta_2\, \omega_{i,n}^{Prior} + \gamma' X_i + u_{i,n}$$

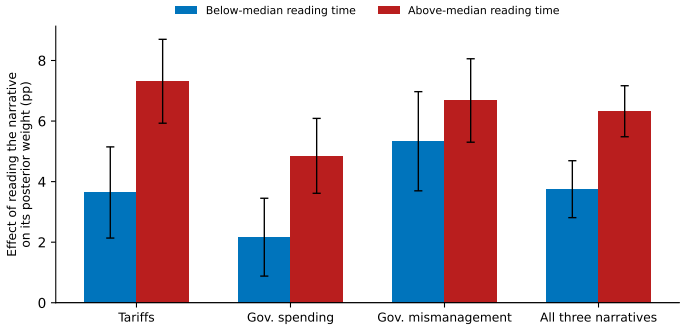
Respondents who did not read narrative *n* form its control group. The posterior question is reworded and asked four screens later. Posterior question Experimenter demand

	Tariffs	Gov. spending	Gov. mismanagement
Narrative in treatment	5.50^{***}	3.46^{***}	6.02^{***}
	(0.62)	(0.52)	(0.63)
Prior narrative weight	0.58^{***}	0.38^{***}	0.47^{***}
	(0.02)	(0.04)	(0.03)
Effect relative to mean posterior	23%	26%	30%

→ Households **adopt part** of the narratives they read, and their prior weights persist. Full table

Attention Amplifies Updating

Do respondents who read a narrative longer update more? (median split)



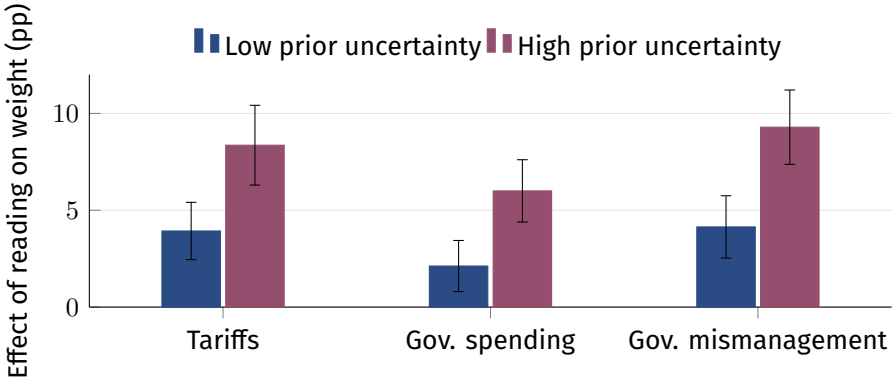
→ The effect is **6.3pp** above and 3.8pp below the median reading time; equality is rejected at 1%.

→ In open-ended answers, above-median readers are 12.2pp more likely to cite the narrative they read, against 6.0pp.

Prior Uncertainty Amplifies Updating

Do respondents who are less confident in their prior allocation update more?

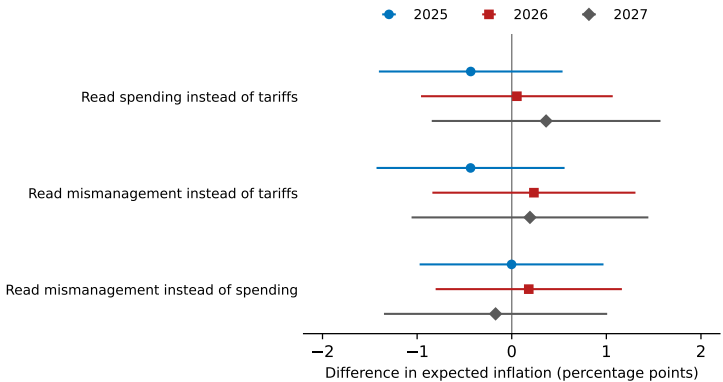
High uncertainty: confidence of 4 or below on a 1–7 scale.



→ Less confident respondents update **about twice as much**; both comparative statics of the Kalman gain hold.

Table

Narratives Read Do Not Shift the Level of Expected Inflation



- Calendar-year expectations for 2025–2027 by narrative pair
- None of the nine comparisons is significant; no estimate exceeds 0.44pp
- The CIs rule out differences above about 1pp

$\rightarrow$ Narratives change how households **attribute** inflation, not its level.

Second Treatment: Random Tariff Forecast

Respondents receive an expert forecast (EES, Q2 2025) of the average U.S. import tariff by the end of 2025: either 23% (third quartile) or 15% (first quartile, active control).

Expert Expectations about Import Tariffs

In a recent survey of leading economic experts, participants were asked about their **expectations for import tariffs**.

Experts expect that by the end of 2025, the **United States government** will have imposed an **average import tariff of 23%** on goods imported from other countries.

For example, suppose a car imported from outside the US would cost the **importer $20,000** without tariffs. A **23% import tariff** would require the importer to pay an additional **$4,600** in tariffs, raising the total costs for the importer to **$24,600**.

Tariff News Moves Expectations More for Tariff-Narrative Holders

$$\pi_{Post,i} = \beta_0 + \beta_1 \pi_{Prior,i} + \beta_2 \text{ Tariff High}_i + \gamma' X_i + \epsilon_i \quad \text{(12-month-ahead expectations)}$$

	Full sample		Posterior tariff weight	
	(1)	(2)	(3) Above median	(4) Below median
Tariff forecast high	1.302***	1.260***	1.646***	0.964*
	(0.361)	(0.361)	(0.480)	(0.519)
Controls	Yes	Yes	Yes	Yes
Inflation prior	Yes	Yes	Yes	Yes
Day fixed effects	No	Yes	Yes	Yes
Control group mean	11.14	11.14	9.00	12.67
Observations	2,935	2,935	1,219	1,716
R^2	0.631	0.636	0.630	0.639

(3)–(4): split at the median posterior tariff weight (20%), elicited before the forecast. Robust SEs.

→ A 1pp higher tariff forecast raises expected inflation by **0.16pp** (11% of the mean).
→ The response is larger among households with an above-median tariff weight.

Narrative weights are not randomized: heterogeneity in pass-through, not a causal effect.

By party

Recap: Attention Shapes Beliefs

1. **Updating:** reading a narrative raises its weight, and more so with more attention and less confident priors, as Bayesian updating implies.

Recap: Attention Shapes Beliefs

1. **Updating:** reading a narrative raises its weight, and more so with more attention and less confident priors, as Bayesian updating implies.

2. **Sticky narratives:** households move only part of the way and keep seeking out the narratives they already consider important.

Recap: Attention Shapes Beliefs

1. **Updating:** reading a narrative raises its weight, and more so with more attention and less confident priors, as Bayesian updating implies.
2. **Sticky narratives:** households move only part of the way and keep seeking out the narratives they already consider important.
3. **Interpretation of news:** tariff news moves expectations more for households that attribute more inflation to tariffs.

Recap: Attention Shapes Beliefs

1. **Updating:** reading a narrative raises its weight, and more so with more attention and less confident priors, as Bayesian updating implies.
2. **Sticky narratives:** households move only part of the way and keep seeking out the narratives they already consider important.
3. **Interpretation of news:** tariff news moves expectations more for households that attribute more inflation to tariffs.

Next: what do sticky narratives imply for aggregate inflation?

7. Sticky Narratives in a New Keynesian Model

Narratives in a New Keynesian Model

Narratives: following Andre et al. (2026), households attribute current inflation to causes z (productivity, government spending, monetary policy), each following an AR(1) with persistence ρ_z:

$$\widehat{E}_t^H \pi_{t+1} = \Big(\sum_z \omega_{z,t}^H \, \rho_z \Big) \pi_t \equiv A_t \, \pi_t,$$

where $\omega_{z,t}^H$ is the share of inflation attributed to cause z – the object the surveys measure.

Narratives in a New Keynesian Model

Narratives: following Andre et al. (2026), households attribute current inflation to causes z (productivity, government spending, monetary policy), each following an AR(1) with persistence ρ_z:

$$\widehat{E}_t^H \pi_{t+1} = \Big(\sum_z \omega_{z,t}^H \, \rho_z \Big) \pi_t \equiv A_t \, \pi_t,$$

where $\omega_{z,t}^H$ is the share of inflation attributed to cause z – the object the surveys measure.

Economy: otherwise a conventional three-equation NK model, in which firms are rational:

$$\pi_t = \beta \, E_t \pi_{t+1} + \kappa \big[(\gamma + \varsigma\alpha) c_t - (1+\varsigma) a_t \big], \qquad c_t = E_t c_{t+1} - \tfrac{1}{\gamma} \big(i_t - \widehat{E}_t^H \pi_{t+1} \big), \qquad i_t = \phi \, \pi_t.$$

Narratives in a New Keynesian Model

Narratives: following Andre et al. (2026), households attribute current inflation to causes z (productivity, government spending, monetary policy), each following an AR(1) with persistence ρ_z:

$$\widehat{E}_t^H \pi_{t+1} = \Big(\sum_z \omega_{z,t}^H \, \rho_z \Big) \pi_t \equiv A_t \, \pi_t,$$

where $\omega_{z,t}^H$ is the share of inflation attributed to cause z – the object the surveys measure.

Economy: otherwise a conventional three-equation NK model, in which firms are rational:

$$\pi_t = \beta \, E_t \pi_{t+1} + \kappa \big[(\gamma + \varsigma\alpha) c_t - (1+\varsigma) a_t \big], \qquad c_t = E_t c_{t+1} - \tfrac{1}{\gamma} \big(i_t - \widehat{E}_t^H \pi_{t+1} \big), \qquad i_t = \phi \, \pi_t.$$

Mechanism: narratives enter through the real rate that households perceive,

$$i_t - \widehat{E}_t^H \pi_{t+1} = (\phi - A_t) \, \pi_t.$$

Attributing inflation to a more persistent cause lowers the perceived real rate, which raises consumption and inflation.

Experiment: A Public Narrative and Sticky Updating

- **Shock:** productivity falls by 10% in quarter 0 and recovers at rate $\rho_a = 0.9$.
- **Public narrative:** in quarters 1–6, all inflation is attributed to a persistent cause with $\rho_b = 0.95$.
- **Household narrative:** households attribute a share s_t to the persistent cause, so $A_t = (1 - s_t)\rho_a + s_t\rho_b$, and update at gain η:

$$s_t = (1 - \eta)\, s_{t-1} + \eta\, \tilde{s}_t, \qquad \tilde{s}_t = \begin{cases} 1 & 1 \le t \le 6, \\ 0 & \text{otherwise.} \end{cases}$$

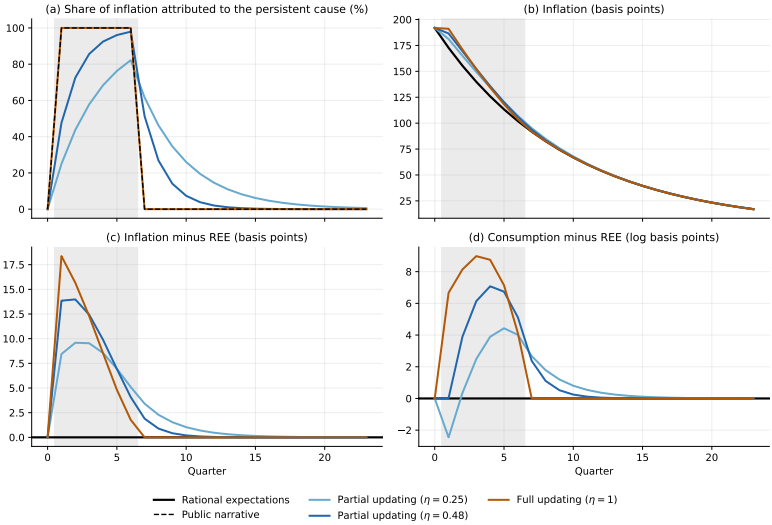
Experiment: A Public Narrative and Sticky Updating

- **Shock:** productivity falls by 10% in quarter 0 and recovers at rate $\rho_a = 0.9$.
- **Public narrative:** in quarters 1–6, all inflation is attributed to a persistent cause with $\rho_b = 0.95$.
- **Household narrative:** households attribute a share s_t to the persistent cause, so $A_t = (1 - s_t)\rho_a + s_t\rho_b$, and update at gain η:

$$s_t = (1 - \eta)\, s_{t-1} + \eta\, \tilde{s}_t, \qquad \tilde{s}_t = \begin{cases} 1 & 1 \le t \le 6, \\ 0 & \text{otherwise.} \end{cases}$$

- **Full updating:** $\eta = 1$.
- **Partial updating:** $\eta = 0.48$ and $\eta = 0.25$, as in the survey – more and less attentive households.
- **Rational expectations:** $\eta = 0$.
- **Calibration:** as in Andre et al. (2026), based on Galí (2015). Calibration

Sticky Narratives: Smaller Peak, Longer Effect



Speed of Updating Shifts the Timing, Not the Size

- **Full updating:** in quarter 1, inflation stays at 191bp instead of falling to 173bp under rational expectations, an effect of 18bp (11%) that ends with the episode.

Speed of Updating Shifts the Timing, Not the Size

- **Full updating:** in quarter 1, inflation stays at 191bp instead of falling to 173bp under rational expectations, an effect of 18bp (11%) that ends with the episode.
- **Partial updating:** with $\eta = 0.25$, the peak effect is at most 10bp, about half as large, and arrives one quarter later.
  - Households absorb the narrative gradually and abandon it gradually.
  - 18% of the cumulative effect materializes after the public narrative has disappeared, against none under full updating.

Speed of Updating Shifts the Timing, Not the Size

- **Full updating:** in quarter 1, inflation stays at 191bp instead of falling to 173bp under rational expectations, an effect of 18bp (11%) that ends with the episode.
- **Partial updating:** with $\eta = 0.25$, the peak effect is at most 10bp, about half as large, and arrives one quarter later.
  - Households absorb the narrative gradually and abandon it gradually.
  - 18% of the cumulative effect materializes after the public narrative has disappeared, against none under full updating.
- **Cumulative effect:** 61, 65, and 59bp for $\eta = 1$, 0.48, and 0.25.

Speed of Updating Shifts the Timing, Not the Size

- **Full updating:** in quarter 1, inflation stays at 191bp instead of falling to 173bp under rational expectations, an effect of 18bp (11%) that ends with the episode.
- **Partial updating:** with $\eta = 0.25$, the peak effect is at most 10bp, about half as large, and arrives one quarter later.
  - Households absorb the narrative gradually and abandon it gradually.
  - 18% of the cumulative effect materializes after the public narrative has disappeared, against none under full updating.
- **Cumulative effect:** 61, 65, and 59bp for $\eta = 1$, 0.48, and 0.25.

$\rightarrow$ Inattentive households **carry a narrative beyond the public debate** that created it.

8. Conclusion

Conclusion

- **Prior beliefs predict attention:** different beliefs govern different margins
  - **Reading:** households read longer about narratives they understand less well
  - **Acquisition:** households persistently seek out the narratives they consider important

Conclusion

- **Prior beliefs predict attention:** different beliefs govern different margins
  - **Reading:** households read longer about narratives they understand less well
  - **Acquisition:** households persistently seek out the narratives they consider important
- **Attention shapes beliefs:** updating is partial and stronger with more attention and less confidence, so narratives are sticky

Conclusion

- **Prior beliefs predict attention:** different beliefs govern different margins
  - **Reading:** households read longer about narratives they understand less well
  - **Acquisition:** households persistently seek out the narratives they consider important
- **Attention shapes beliefs:** updating is partial and stronger with more attention and less confidence, so narratives are sticky
- **Narratives shape how news is read:** tariff news moves expectations more for tariff-narrative holders

Conclusion

- **Prior beliefs predict attention:** different beliefs govern different margins
  - **Reading:** households read longer about narratives they understand less well
  - **Acquisition:** households persistently seek out the narratives they consider important
- **Attention shapes beliefs:** updating is partial and stronger with more attention and less confidence, so narratives are sticky
- **Narratives shape how news is read:** tariff news moves expectations more for tariff-narrative holders
- **Sticky narratives shift the timing of inflation:** a smaller peak and a longer-lasting effect

Conclusion

- **Prior beliefs predict attention:** different beliefs govern different margins
  - **Reading:** households read longer about narratives they understand less well
  - **Acquisition:** households persistently seek out the narratives they consider important
- **Attention shapes beliefs:** updating is partial and stronger with more attention and less confidence, so narratives are sticky
- **Narratives shape how news is read:** tariff news moves expectations more for tariff-narrative holders
- **Sticky narratives shift the timing of inflation:** a smaller peak and a longer-lasting effect

Policy implication: forecasts and announcements reach households through the narratives they already hold. Communicating *why* inflation moves may complement communicating *where* it is heading.

Thank you for your attention!

heil@hec.fr

Appendix

Reading Margin: Regression Table

back

	Pooled		Government pairs	Tariffs pairs
	(1)	(2)	(3)	(4)
Sample	Full	No zero omegas	No zero omegas	No zero omegas
Understood better	-5.49^{***}	-6.60^{***}	-7.45^{**}	-4.33^{*}
	(1.84)	(1.96)	(3.45)	(2.48)
Larger contribution	-3.93^{**}	-3.44^{*}	2.24	-5.61^{**}
	(1.69)	(1.82)	(3.08)	(2.31)
Controls	Additive	Additive	Interacted	Interacted
Narrative fixed effects, order	Yes	Yes	Yes	Yes
Respondents	3,002	2,739	871	1,868

Notes: Linear probability model, percentage points. Dependent variable: 1 if the respondent spent more time on the narrative than on the other narrative shown. Indicators for ranking above the other narrative in pre-treatment understanding and contribution; ties coded 0. Columns (2)–(4) drop 263 respondents who rate both narratives at zero contribution. Controls: narrative FE, order, demographics, 2024 vote, trust in experts, attention to inflation. SEs clustered by respondent. $^{*}p < 0.1$, $^{**}p < 0.05$, $^{***}p < 0.01$.

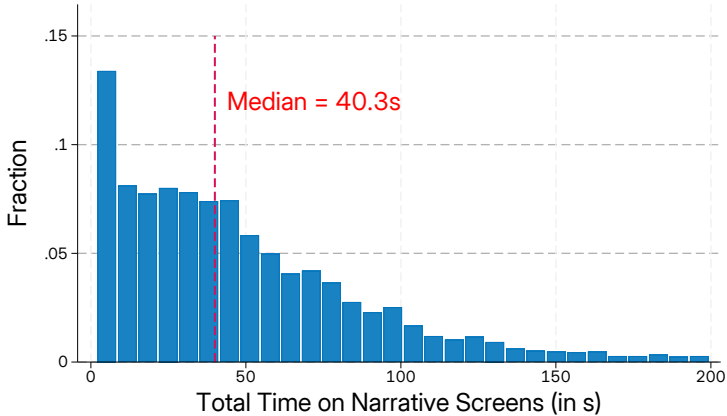
Reading Margin: Perceived Contribution and Partisanship

back

- **Perceived contribution does not raise reading time:** the coefficient is -3.4 to -3.9pp.
  - Holding understanding fixed, the reading problem implies the opposite sign.
  - The estimate is consistent with Prop. 1 if households are less uncertain about narratives they consider important; rank–weight correlations are -0.31 to -0.47.
  - The negative coefficient comes from pairs with tariffs; the understanding effect holds in both pair types.
- **No partisan difference in the allocation of attention:**
  - Trump voters understand the tariff channel less well (rank 4.1 vs. 2.7).
  - Understanding lowers the probability of reading longer by 6.3pp among Trump voters and by 6.1pp among others.

Distribution of Reading Times

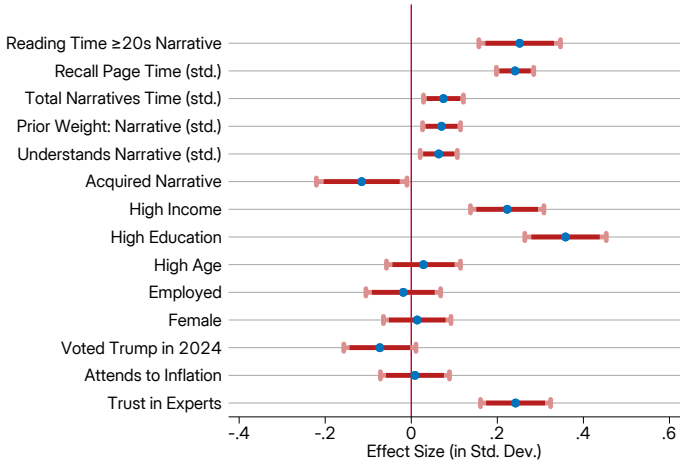
back



Median: 40 seconds on both narrative screens. Mean: 29s (gov. spending), 27s (mismanagement), 25s (tariffs).

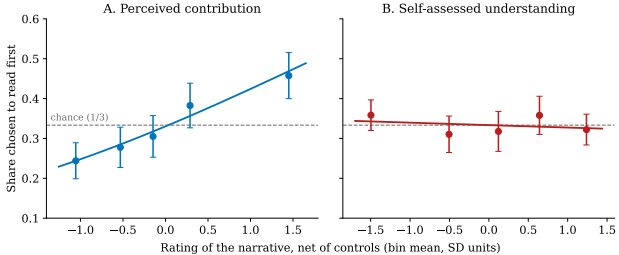
Determinants of Recall

back



Acquisition Margin: Binned Choice Probabilities

back



Acquisition after Reading (Attention Survey)

back

After both narratives, respondents can request more information about one of them, both, a third narrative, or none. A narrative counts as acquired if requested alone.

	(1)	(2)
Perceived contribution (std.)	1.85^{***}	2.24^{***}
	(0.58)	(0.58)
Understanding (std.)	-0.14	0.30
	(0.53)	(0.53)
Narrative fixed effects, order	Yes	Yes
Controls	No	Yes
Observations	6,004	6,004

- +1 SD perceived contribution: **+2.2pp**; understanding: no effect ($p = 0.57$); coefficients differ (Wald $p = 0.036$)
- Choice made after reading: tests Prop. 2, not the role of understanding

Persistence of Acquisition: Follow-Up

back

Panel A. Follow-up first choice by acquisition-survey first choice (row percent)

	Follow-up first choice		
Acquisition-survey first choice	Tariffs	Energy	Government spending
Tariffs ($n = 121$)	**46.3**	22.3	31.4
Energy ($n = 75$)	25.3	**42.7**	32.0
Government spending ($n = 133$)	23.3	24.8	**51.9**
Same first choice in both waves (percent)	47.7 [42.4, 53.1]		
Expected if choices independent (percent)	34.3		
Cohen's κ	0.20 [0.12, 0.28]		
One-sided binomial p-value (H_0: one third)	< 0.001		

Panel B. First choice and beliefs in both waves

	Conditional logit		Linear probability
	Acquisition survey (1)	Follow-up (2)	Both waves (3)
Perceived contribution (std.)	0.433^{***}	0.207^{***}	0.020
	(0.071)	(0.065)	(0.019)
Understanding (std.)	-0.118	0.137	-0.002
	(0.123)	(0.119)	(0.016)
Narrative fixed effects	Yes	Yes	–
Respondent $\times$ narrative fixed effects	No	No	Yes
Narrative $\times$ wave fixed effects	No	No	Yes
Respondents	329	329	329
Observations	987	987	1,974

Posterior Narratives Question

back

In your opinion, what are the **current drivers of inflation** in the United States? Please **weight** the following potential drivers according to their **importance**.

Please allocate a total of **100 percentage points** across the factors below to indicate their relative importance.

Energy Crisis	0 %
Labor Shortage	0 %
Expansionary Fiscal Policy/Government Spending	0 %
Trade Conflicts/Tariffs	0 %
Government Mismanagement	0 %
Expansionary Monetary Policy/Interest Rates	0 %
Pent-up Demand	0 %
Increased Profit Margins of Firms	0 %
Supply Chain Disruptions	0 %
Other:	0 %

Total: 0%

Please allocate more than 0%

Experimenter Demand

back

- **Different question:** the posterior asks respondents to weight drivers by importance in percent, with a different order, rather than to allocate 100 points.
- **Separation:** the posterior appears four screens after the narratives (rating, acquisition choice, recall in own words).
- **Active control:** every respondent reads two expert narratives; in the forecast experiment, both groups receive an expert forecast.
- Even explicit signals of the researcher's hypothesis move responses only modestly (De Quidt et al., 2018).

Updating of Narratives: Regression Table

back

	(1) Tariffs/Trade conflicts	(2) Government spending	(3) Government mismanagement
Narrative in treatment	5.499***	3.456***	6.023***
	(0.616)	(0.519)	(0.631)
Prior narrative weight	0.582***	0.381***	0.472***
	(0.023)	(0.035)	(0.030)
Controls	Yes	Yes	Yes
Total narrative time	Yes	Yes	Yes
Mean of dependent variable	24.10	13.51	20.12
Observations	3,002	3,002	3,002
R^2	0.437	0.158	0.225

Notes: OLS. Dependent variable: post-treatment weight (0–100) on the focal narrative. "Narrative in treatment" = 1 if the focal narrative was one of the two narratives shown. Controls: demographics, income, employment, 2024 vote, trust in experts, attention to inflation. Robust SEs. $^{*}p < 0.1$, $^{**}p < 0.05$, $^{***}p < 0.01$.

Updating by Prior Uncertainty: Regression Table

back

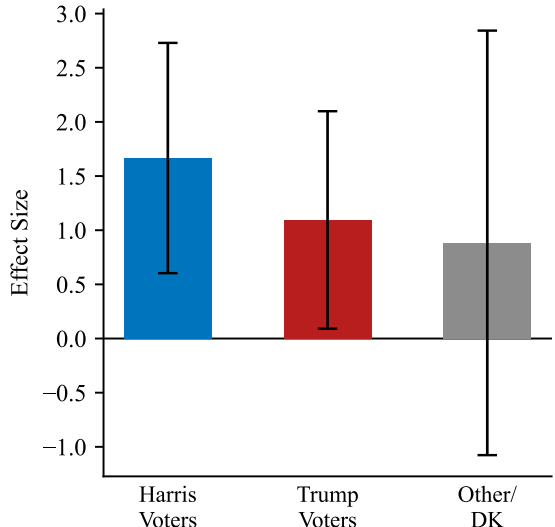
	Tariffs/ Trade conflicts		Government spending		Government mismanagement	
	(1)	(2)	(3)	(4)	(5)	(6)
Prior uncertainty	Low	High	Low	High	Low	High
Narrative in treatment	3.929***	8.361***	2.117***	6.003***	4.141***	9.287***
	(0.753)	(1.049)	(0.671)	(0.822)	(0.819)	(0.979)
Prior narrative weight	0.600***	0.551***	0.366***	0.422***	0.496***	0.422***
	(0.028)	(0.041)	(0.044)	(0.052)	(0.036)	(0.054)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Total narrative time	Yes	Yes	Yes	Yes	Yes	Yes
Mean of dependent variable	23.71	24.76	12.98	14.41	19.93	20.43
Observations	1,898	1,104	1,898	1,104	1,898	1,104
R^2	0.479	0.373	0.158	0.189	0.251	0.198

Notes: As in the updating table, split by confidence in the prior allocation (high uncertainty: confidence ≤ 4 on 1–7). Robust SEs. $^{*}p < 0.1$, $^{**}p < 0.05$, $^{***}p < 0.01$.

Forecast Pass-Through: By Party

back

Same baseline specification, split by **partisanship**.



NK Calibration

back

Parameter	Description	Value
β	Discount factor	0.99
γ	Inverse intertemporal elasticity	1
ς	Labor-supply curvature	5
θ	Calvo parameter	0.75
ϕ	Taylor-rule coefficient	1.5
$1-\alpha$	Steady-state government share of output	0.2
ρ_a	Persistence of productivity	0.9
a_0	Productivity shock	-0.10
ρ_b	Persistence of narrative cause	0.95
η	Narrative updating gain	1, 0.48, 0.25

Following Andre et al. (2026), Galí (2015), Christiano et al. (2011). Under REE, inflation rises by 192bp on impact.

EES Expert Characteristics

back

Category	Subgroup	% Share
Gender	Male	84.1
	Female	14.2
Age	<34	1.4
	35–44	16.1
	45–54	28.6
	55–64	27.2
	65+	29.1
Sector/Affiliation	Academia	61.8
	Private Sector	9.5
	Public Sector	5.3
	Central Bank	5.8
	Research Institutes & Think Tanks	14.8
	Other	2.8
Region	Europe	52.4
	Americas	21.7
	Asia	15.2
	Africa	8.2
	Oceania	2.5

Notes: Characteristics of participants in the Economic Experts Survey, based on Q2 2025.

U.S. Expert Characteristics

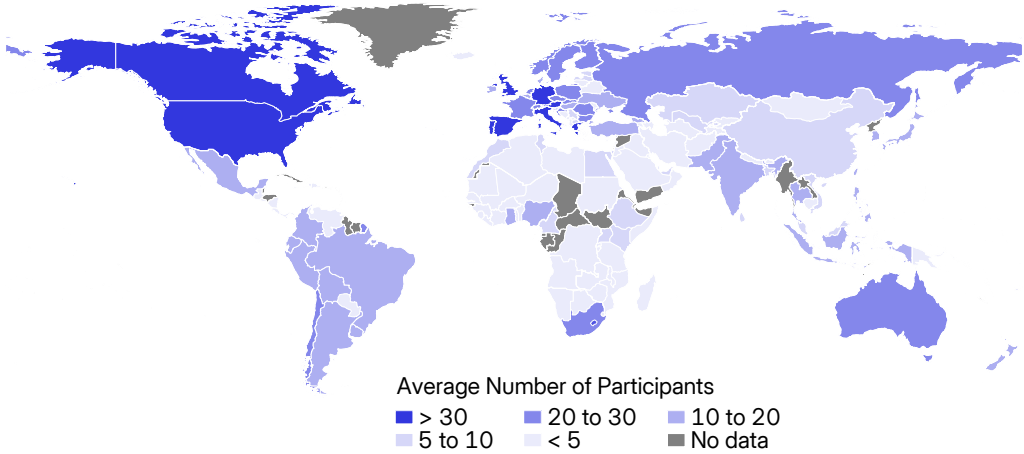
back

	Mean	Standard deviation	Median	Observations
Personal characteristics:				
Years since PhD	28	14.7	24	117
Male	0.86			127
X/Bluesky Followers	5886	10513	1720	49
Academic output:				
Number of TOP 5 publications	4.5	6.3	2	125
H-index	36.2	29.3	27	117
Citations	16299	32645	5320	117
Policy Output:				
Number of policy briefs	21.3	40.7	9.5	104
Media mentions	90.4	403.2	5.5	104

Notes: Characteristics of U.S.-based experts in the Economic Experts Survey, manually collected.

Participation in EES

back



Notes: Average number of participants per country in the EES, Q1 2022 to Q2 2025.

Inflation Narrative Question (Experts)

back

In your opinion, how **important** are the following **potential drivers of current inflation** in the United States of America?

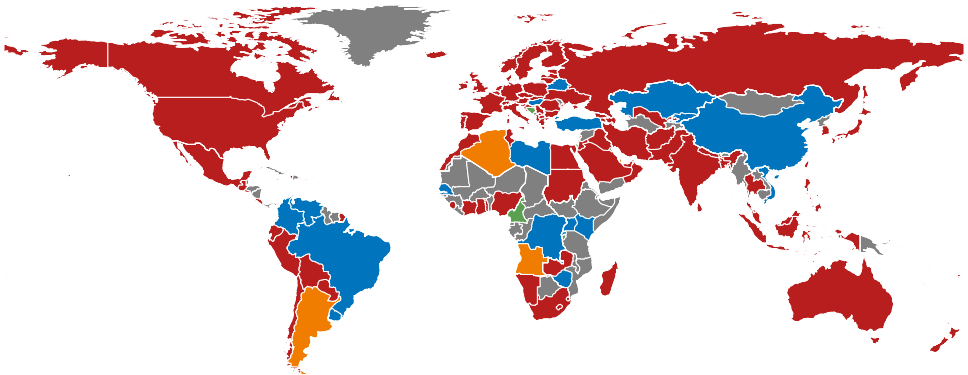
(The sum of the drivers of inflation should add to 100%.)

Labor Shortage	0 %
Supply Chain Disruptions	0 %
Trade Conflicts/Tariffs	0 %
Government Mismanagement	0 %
Increased Profit Margins of Firms	0 %
Pent-Up Demand	0 %
Expansionary Monetary Policy	0 %
Expansionary Fiscal Policy	0 %
Energy Crisis	0 %
Other:	0 %
Total	0 %

Dominant Inflation Narrative across Countries

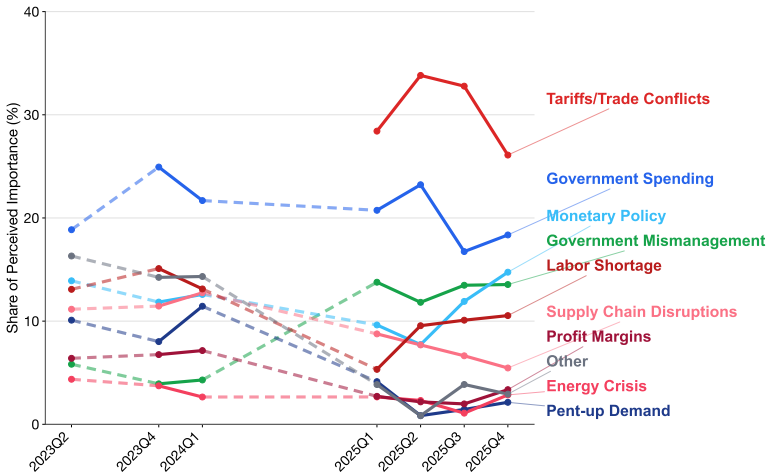
back

Snapshot Q4 2025



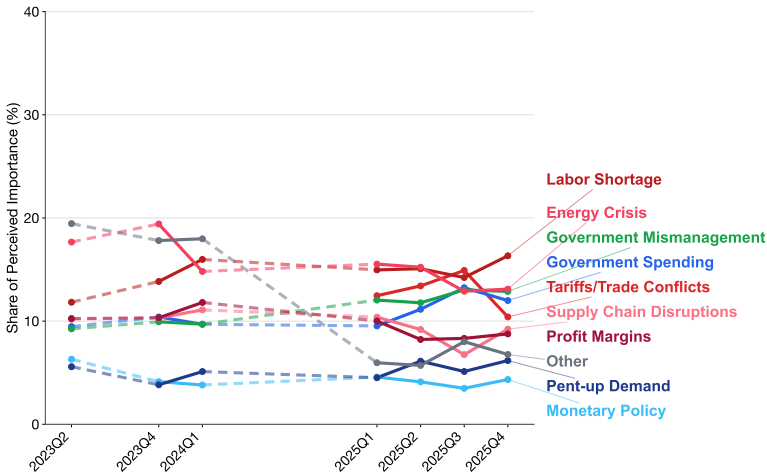
U.S. Expert Inflation Narratives, 2023–2025

back



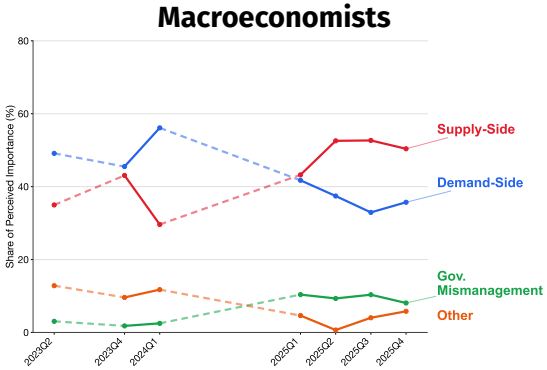
European Expert Inflation Narratives over Time

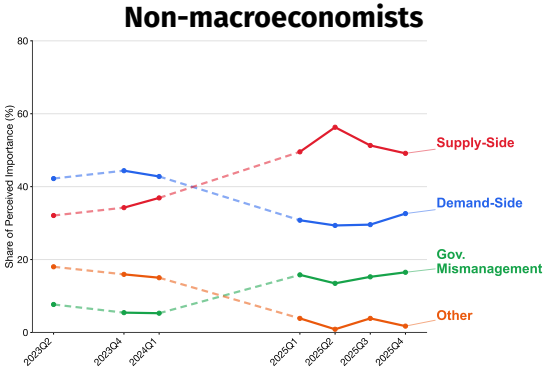
back



U.S. Expert Narratives: Macro vs. Non-Macroeconomists

back





back

Narratives for Inflation

In a survey among economic experts active in the United States, participants were asked about their thoughts on the drivers of current inflation.

In the following screens, you will be presented with **two different narratives**, which explain the current development of inflation in the United States.
These narratives are among the most important current drivers of inflation, according to the economic experts.

Narratives Treatment – Government Spending

back

What causes current Inflation?

Participants in a recent survey of leading economic experts stated that **Expansionary Fiscal Policy** is a major driver of current Inflation in the United States.

When the **government increases its spending**—through stimulus checks, infrastructure projects, or expanded social programs—it injects additional money into the economy, boosting household and business purchasing power. This **increase in demand for goods and services** can exceed the economy's short-term productive capacity, putting **upward pressure on prices**.

If such spending is not offset by higher taxes or reductions elsewhere, it can result in persistent deficits that further stimulate demand.

In these circumstances, strong fiscal stimulus substantially **increases aggregate demand**; when supply is constrained, this contributes to higher inflation.

Narratives Treatment – Government Mismanagement

back

What causes current Inflation?

Participants in a recent survey among prestigious economic experts stated that **Government Mismanagement** is a major driver of current Inflation in the United States.

When the government **poorly manages economic policy**—for example, by delaying necessary reforms, failing to control spending, or implementing inconsistent regulations—it can create **uncertainty** and **reduce economic efficiency**. These actions can **raise production costs** and limit the economy's ability to respond to rising demand.

Mismanagement can also **weaken public confidence** in economic institutions. This may lead households and businesses to expect higher future prices, causing them to spend more now, which adds to inflationary pressure.

Together, these effects **increase costs** and amplify **demand pressures**; when supply cannot adjust effectively, the result is higher inflation.

References I

Andre, P., Haaland, I., Roth, C., Wiederholt, M., and Wohlfart, J. (2026). Narratives about the Macroeconomy. *Review of Economic Studies*. https://doi.org/10.1093/restud/rdag014.

Barro, R. J. and Bianchi, F. (2026). Fiscal influences on inflation in OECD countries, 2020–2023. *Economic Journal*, 136(674):626–654.

Barron, K. and Fries, T. (2024). Narrative persuasion. Discussion paper, WZB Berlin Social Science Center.

Bernanke, B. and Blanchard, O. (2025). What caused the US pandemic-era inflation? *American Economic Journal: Macroeconomics*, 17(3):1–35.

Bianchi, F., Faccini, R., and Melosi, L. (2023). A fiscal theory of persistent inflation. *Quarterly Journal of Economics*, 138(4):2127–2179.

Blesse, S., Gründler, K., Heil, P., and Hermes, H. (2026). The Demand for Economic Narratives. Discussion Paper 20759, CEPR.

Bracha, A. and Tang, J. (2025). Inflation levels and (in)attention. *Review of Economic Studies*, 92(3):1564–1594.

Charles, C. and Kendall, C. (2024). Causal narratives. *Working Paper*.

Christiano, L., Eichenbaum, M., and Rebelo, S. (2011). When is the government spending multiplier large? *Journal of Political Economy*, 119(1):78–121.

Cochrane, J. H. (2023). Inflation past, present and future: Fiscal shocks, fed response, and fiscal limits. In Bordo, M. D., Cochrane, J. H., and Taylor, J. B., editors, *How Monetary Policy Got Behind the Curve—and How to Get Back*, pages 63–114. Hoover Institution Press, Stanford, CA.

Coibion, O., Georgarakos, D., Gorodnichenko, Y., and Van Rooij, M. (2023). How Does Consumption Respond to News about Inflation? Field Evidence from a Randomized Control Trial. *American Economic Journal: Macroeconomics*, 15(3):109–152.

Coibion, O. and Gorodnichenko, Y. (2026). Schumpeter lecture 2025: The new causal macroeconomics of surveys and experiments. *Journal of the European Economic Association*, 24(1):58–81.

Coibion, O., Gorodnichenko, Y., and Kumar, S. (2018). How do firms form their expectations? new survey evidence. *American Economic Review*, 108(9):2671–2713.

Coibion, O., Gorodnichenko, Y., and Ropele, T. (2020). Inflation expectations and firm decisions: New causal evidence. *Quarterly Journal of Economics*, 135(1):165–219.

Coibion, O., Gorodnichenko, Y., and Weber, M. (2022). Monetary policy communications and their effects on household inflation expectations. *Journal of Political Economy*, 130(6):1537–1584.

De Quidt, J., Haushofer, J., and Roth, C. (2018). Measuring and bounding experimenter demand. *American Economic Review*, 108(11):3266–3302.

References II

Eliaz, K. and Spiegler, R. (2020). A model of competing narratives. *American Economic Review*, 110(12):3786–3816.

Flynn, J. and Sastry, K. (2024). The macroeconomics of narratives. Working Paper 32602, National Bureau of Economic Research.

Gabaix, X. (2019). Behavioral inattention. In Bernheim, B. D., DellaVigna, S., and Laibson, D., editors, *Handbook of Behavioral Economics: Foundations and Applications*, volume 2, pages 261–343. Elsevier, Amsterdam.

Gagliardone, L. and Gertler, M. (2026). Oil prices, monetary policy, and inflation surges. *American Economic Journal: Macroeconomics*, 18(4):468–501.

Galí, J. (2015). *Monetary Policy, Inflation, and the Business Cycle: An Introduction to the New Keynesian Framework and Its Applications*. Princeton University Press, Princeton, NJ. Second edition.

Haaland, I., Roth, C., and Wohlfart, J. (2023). Designing information provision experiments. *Journal of Economic Literature*, 61(1):3–40.

Link, S., Peichl, A., Pfäuti, O., Roth, C., and Wohlfart, J. (2026). Attention to the macroeconomy. *Quarterly Journal of Economics*. https://doi.org/10.1093/qje/qjag047.

Loewenstein, G. and Wojtowicz, Z. (2025). The Economics of Attention. *Journal of Economic Literature*, 63(3):1038–1089.

Lorenzoni, G. and Werning, I. (2023). Wage-price spirals. *Brookings Papers on Economic Activity*, 2023(2):317–393.

Maćkowiak, B., Matějka, F., and Wiederholt, M. (2023). Rational inattention: A review. *Journal of Economic Literature*, 61(1):226–273.

Maćkowiak, B. and Wiederholt, M. (2009). Optimal sticky prices under rational inattention. *American Economic Review*, 99(3):769–803.

Pfäuti, O. (forthcoming). The inflation attention threshold and inflation surges. *American Economic Review*.

Reis, R. (2023). The burst of high inflation in 2021–22: How and why did we get here? In Bordo, M. D., Cochrane, J. H., and Taylor, J. B., editors, *How Monetary Policy Got Behind the Curve—and How to Get Back*, pages 203–252. Hoover Institution Press, Stanford, CA.

Schwartzstein, J. and Sunderam, A. (2021). Using models to persuade. *American Economic Review*, 111(1):276–323.

Shapiro, A. H. (2026). Decomposing supply-and demand-driven inflation. *Journal of Money, Credit and Banking*, 58(2):365–388.

Shiller, R. J. (2017). *Narrative Economics: How Stories Go Viral and Drive Major Economic Events*. Princeton University Press, Princeton, NJ.

Sims, C. A. (2003). Implications of rational inattention. *Journal of Monetary Economics*, 50(3):665–690.

Weber, M., Candia, B., Afrouzi, H., Ropele, T., Lluberas, R., Frache, S., Meyer, B., Kumar, S., Gorodnichenko, Y., Georgarakos, D., et al. (2025). Tell me something i don't already know: Learning in low- and high-inflation settings. *Econometrica*, 93(1):229–264.